**DATED 2025**

**(1) THE PERSONS LISTED IN SCHEDULE 1**
(as Sellers)

and

**(2) WILLOW BIDCO LIMITED**
(as Buyer)

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# SHARE PURCHASE AGREEMENT

*relating to the entire issued share capital of*
**WESTMERE COATINGS LIMITED**
*(Project Willow)*

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**Whitfield Carter LLP**

22 Bishopsgate, London EC2N 4BQ

Ref: SW/JO/WILLOW/0160

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**THIS AGREEMENT is made on 2025**

**PARTIES**

(1) THE PERSONS whose names and addresses are set out in column (1) of the table in Schedule 1 (together the "Sellers" and each a "Seller"); and

(2) WILLOW BIDCO LIMITED, a company incorporated in England and Wales with registered number 15482233, whose registered office is at 22 Bishopsgate, London EC2N 4BQ (the "Buyer").

**BACKGROUND**

(A) Westmere Coatings Limited is a private company limited by shares, incorporated in England and Wales with registered number 03871266 (the "Company"). Further particulars of the Company are set out in Schedule 2.

(B) The Sellers are the legal and beneficial owners of, and are entitled to sell with full title guarantee, the entire issued share capital of the Company in the proportions set out in Schedule 1.

(C) The Sellers have agreed to sell and the Buyer has agreed to purchase the Shares on and subject to the terms of this Agreement.

**AGREED TERMS**

**1. DEFINITIONS AND INTERPRETATION**

1.1 In this Agreement, unless the context otherwise requires, the following definitions apply:

**"Accounts"** the audited financial statements of the Company for the financial year ended 31 December 2024, comprising the balance sheet, profit and loss account, notes and directors' and auditor's reports.

**"Business Day"** a day other than a Saturday, Sunday or public holiday in England when banks in London are open for business.

**"Claim"** any claim by the Buyer for breach of any of the Warranties or under any other provision of this Agreement.

**"Completion"** completion of the sale and purchase of the Shares in accordance with clause 7.

**"Completion Accounts"** the accounts to be prepared in accordance with clause 4 and Schedule 4.

**"Completion Date"** the date on which Completion takes place.

**"Conditions"** the conditions to Completion set out in clause 5.

**"Consideration"** the consideration for the Shares as determined under clause 3.

**"Disclosure Letter"** the letter of the same date as this Agreement from the Sellers to the Buyer, together with the bundle of documents attached to it.

**"Encumbrance"** any mortgage, charge, pledge, lien, option, right of pre-emption, security interest or other third-party right or interest of any kind.

**"Estimated Net Debt"** the Sellers' good-faith estimate of the Net Debt as at the Completion Date, being £3,200,000.

**"Longstop Date"** 30 June 2025.

**"Net Debt"** the aggregate of all borrowings and indebtedness in the nature of borrowing of the Company less Cash, as determined by the Completion Accounts.

**"Retention Account"** the joint interest-bearing deposit account into which the Retention Amount is to be paid pursuant to clause 14.

**"Retention Amount"** £2,000,000.

**"Shares"** the 10,000 ordinary shares of £1.00 each in the capital of the Company, comprising the entire issued share capital of the Company.

**"Target Working Capital"** £6,800,000.

**"Tax Covenant"** the covenant relating to taxation set out in Schedule 7.

**"Warranties"** the warranties given by the Sellers set out in clause 8 and Schedule 5.

1.2 Clause, Schedule and paragraph headings do not affect interpretation. References to clauses and Schedules are to the clauses of and Schedules to this Agreement.

1.3 Words in the singular include the plural and vice versa, and a reference to one gender includes the other genders.

1.4 A reference to a statute or statutory provision is a reference to it as amended, extended or re-enacted from time to time.

1.5 Any phrase introduced by "including", "include", "in particular" or any similar expression shall be construed as illustrative and shall not limit the sense of the preceding words.

## 2. SALE AND PURCHASE OF THE SHARES

2.1 On and subject to the terms of this Agreement, each Seller shall sell with full title guarantee, and the Buyer shall buy, the number of Shares set against that Seller's name in Schedule 1, free from all Encumbrances and together with all rights attaching to them at or after the date of this Agreement.

2.2 Each Seller irrevocably waives all rights of pre-emption and other restrictions on transfer over any of the Shares conferred under the articles of association of the Company or otherwise.

2.3 The Buyer is not obliged to complete the purchase of any of the Shares unless the purchase of all of the Shares is completed simultaneously.

## 3. CONSIDERATION

3.1 The total consideration for the Shares (the "Consideration") shall be a sum equal to the Enterprise Value of £42,500,000 less the Net Debt, increased or reduced by the working capital adjustment, in each case as finally determined by the Completion Accounts in accordance with clause 4 and Schedule 4.

3.2 At Completion, the Buyer shall pay an amount (the "Initial Consideration") equal to £42,500,000 less the Estimated Net Debt of £3,200,000, namely £39,300,000, plus the estimated working capital adjustment, being the difference between estimated completion working capital of £7,050,000 and the Target Working Capital of £6,800,000 (an increase of £250,000), giving an estimated equity consideration of £39,550,000.

3.3 Of the Initial Consideration, the Buyer shall (a) retain and pay the Retention Amount of £2,000,000 into the Retention Account in accordance with clause 14, and (b) pay the balance of £37,550,000 to the Sellers' Solicitors in the proportions set out in Schedule 1.

3.4 Any payment made by the Sellers to the Buyer in respect of a Claim or under the Tax Covenant shall, so far as possible, be treated as a reduction of the Consideration.

3.5 The Consideration shall be apportioned between the Sellers in the proportions set out in column (3) of Schedule 1.

## 4. COMPLETION ACCOUNTS

4.1 The Completion Accounts shall be prepared and the Net Debt and working capital determined in accordance with Schedule 4.

4.2 Within 60 Business Days after the Completion Date, the Buyer shall prepare and deliver to the Sellers' Representative a draft of the Completion Accounts together with its calculation of the Net Debt and working capital.

4.3 If the Consideration as finally determined exceeds the Initial Consideration, the Buyer shall pay the excess to the Sellers; if it is less, the Sellers shall repay the shortfall to the Buyer, in each case within 10 Business Days of final determination, with interest at 2% above the base rate of the Bank of England.

## 5. CONDITIONS

5.1 Completion is conditional on the receipt of the written consent of Pennine Asset Finance Limited to the change of control of the Company under the master hire agreement dated 4 March 2021 (the "Finance Consent").

5.2 The Sellers shall use all reasonable endeavours to procure the satisfaction of the Condition as soon as possible and in any event by the Longstop Date.

5.3 If the Condition has not been satisfied (or waived by the Buyer) by the Longstop Date, this Agreement shall automatically terminate (save for the surviving provisions) and no party shall have any claim against any other, save in respect of any prior breach.

## 6. PRE-COMPLETION CONDUCT

6.1 From the date of this Agreement until Completion, each Seller shall procure that the Company carries on its business in the ordinary and usual course consistent with past practice and shall not, without the prior written consent of the Buyer:

(a) declare, make or pay any dividend or other distribution;

(b) create, allot or issue any shares or grant any option over its share capital;

(c) dispose of or acquire any material asset or business otherwise than in the ordinary course;

(d) incur any borrowing or capital commitment exceeding £50,000;

(e) make any material change to the terms of employment of any senior employee or appoint or dismiss any director; or

(f) enter into, terminate or materially vary any material contract.

## 7. COMPLETION

7.1 Completion shall take place at the offices of the Buyer's Solicitors on the date falling two Business Days after satisfaction of the Condition, or at such other time and place as the parties may agree (and the parties intend that Completion shall occur on 16 May 2025).

7.2 At Completion the Sellers and the Buyer shall each comply with their respective obligations set out in Schedule 3.

7.3 If any party fails to comply in any material respect with its obligations under Schedule 3, the non-defaulting party may (without prejudice to any other right) defer Completion, proceed to Completion so far as practicable, or terminate this Agreement.

## 8. SELLERS' WARRANTIES

8.1 Each Seller severally warrants to the Buyer in respect of itself and the Shares set against its name that the Title Warranties set out in Part 1 of Schedule 5 are true and accurate as at the date of this Agreement and will be at Completion.

8.2 The Sellers (other than the trustees of the Westmere 2012 Family Settlement) jointly and severally warrant to the Buyer that the Business Warranties set out in Part 2 of Schedule 5 are

true and accurate as at the date of this Agreement, subject only to the matters fairly disclosed in the Disclosure Letter.

8.3 Each Warranty is to be construed independently and is not limited by any other Warranty or any other provision of this Agreement.

8.4 The only Warranties given in respect of Tax are those in paragraph 14 of Part 2 of Schedule 5, and each other Warranty shall be deemed not to be given in relation to Tax.

## 9. LIMITATIONS ON LIABILITY

9.1 The liability of the Sellers in respect of Claims is limited as set out in Schedule 6.

9.2 The aggregate liability of the Sellers (a) for all Claims under the Title Warranties and clause 2 shall not exceed 100% of the Consideration received by the relevant Seller; and (b) for all Claims under the Business Warranties shall not exceed 25% of the Consideration, being £9,887,500.

9.3 The Sellers shall not be liable for any individual Claim unless the amount of that Claim exceeds £42,500 (and any Claim below that amount shall be disregarded), and then only where the aggregate of all such Claims exceeds £425,000, in which case the Sellers shall be liable for the whole amount and not merely the excess.

9.4 No Claim under the Business Warranties may be brought unless written notice is given to the Sellers within 24 months after the Completion Date, and no Claim under the Tax Covenant or Tax Warranties may be brought unless notice is given within 7 years after the Completion Date.

## 10. BUYER'S WARRANTIES

10.1 The Buyer warrants to the Sellers that it has full power and authority to enter into and perform this Agreement, that this Agreement constitutes binding obligations on it, and that it has available the necessary cash resources to satisfy the Consideration in full at Completion.

## 11. TAX COVENANT

11.1 The Sellers covenant with the Buyer in the terms of the Tax Covenant set out in Schedule 7.

## 12. RESTRICTIVE COVENANTS

12.1 Each of Geoffrey Westmere and Daniel Westmere (each a "Covenantor") severally undertakes to the Buyer that it shall not, for a period of three years after the Completion Date, within the United Kingdom:

(a) carry on or be engaged or interested in any business which competes with the business of the Company as carried on at Completion;

(b) solicit or entice away any person who was a customer or supplier of the Company in the 12 months before Completion; or

(c) solicit or employ any senior employee of the Company.

12.2 Each undertaking in clause 12.1 is a separate undertaking and is considered by the parties to be reasonable and necessary to protect the goodwill of the business acquired by the Buyer.

## 13. CONFIDENTIALITY AND ANNOUNCEMENTS

13.1 Each party shall keep confidential the terms of this Agreement and the negotiations relating to it, save as required by law or regulation. No announcement shall be made without the prior written consent of the other parties.

## 14. RETENTION ACCOUNT

14.1 The Retention Amount shall be held in the Retention Account in the joint names of the Sellers' Solicitors and the Buyer's Solicitors as security for the satisfaction of any Claim or claim under the Tax Covenant. Subject to deductions for agreed or determined Claims, the balance of the Retention Account shall be released to the Sellers on the date falling 18 months after the Completion Date.

## 15. GUARANTEE

15.1 Halloran Capital Partners guarantees to the Sellers the due and punctual payment by the Buyer of the Consideration payable at Completion.

## 16. NOTICES

16.1 Any notice under this Agreement shall be in writing and delivered by hand, by pre-paid first-class post, or by email to the address or email address of the relevant party. A notice is deemed received: if by hand, on delivery; if by post, at 9.00am on the second Business Day after posting; and if by email, on transmission subject to no bounce-back.

## 17. ENTIRE AGREEMENT

17.1 This Agreement, together with the documents referred to in it, constitutes the entire agreement between the parties and supersedes all prior discussions, correspondence and arrangements. Each party acknowledges that it has not relied on any statement, representation or warranty other than as expressly set out in this Agreement, save that nothing limits liability for fraud.

## 18. ASSIGNMENT AND THIRD PARTY RIGHTS

18.1 No party may assign or otherwise dispose of any of its rights under this Agreement without the prior written consent of the others, save that the Buyer may assign the benefit of the Warranties to any member of its group or to any person providing finance.

18.2 Save as expressly provided, a person who is not a party to this Agreement has no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce its terms.

## 19. COSTS

19.1 Save as otherwise provided, each party shall bear its own costs in connection with the negotiation, preparation and implementation of this Agreement.

## 20. GENERAL

20.1 No variation of this Agreement is effective unless in writing and signed by or on behalf of each party. A waiver of any right or remedy is only effective if given in writing and shall not be deemed a waiver of any subsequent breach or default.

20.2 If any provision of this Agreement is found to be invalid or unenforceable, the provision shall apply with the minimum modification necessary, and the remainder of the Agreement shall not be affected.

20.3 This Agreement may be executed in any number of counterparts, each of which when executed shall constitute an original, and all the counterparts together shall constitute one and the same instrument.

## 21. GOVERNING LAW AND JURISDICTION

21.1 This Agreement and any dispute or claim arising out of or in connection with it or its subject matter shall be governed by and construed in accordance with the laws of England and Wales, and the parties irrevocably submit to the exclusive jurisdiction of the courts of England and Wales.

## SCHEDULE 1 — THE SELLERS

| Seller | No. of Shares | % of Shares |
|---|---|---|
| Geoffrey Westmere of 14 Ashgate Road, Sheffield S10 3BR | 6800 | 68.0% |
| Margaret Westmere of 14 Ashgate Road, Sheffield S10 3BR | 1700 | 17.0% |
| The Westmere 2012 Family Settlement (acting by its trustees James Hollis and Margaret Westmere) | 1000 | 10.0% |
| Daniel Westmere of 7 Endcliffe Vale Road, Sheffield S10 3EN | 500 | 5.0% |
| Total | 10,000 | 100.0% |

## SCHEDULE 2 — PARTICULARS OF THE COMPANY

| Item | Detail |
|---|---|
| Name | Westmere Coatings Limited |
| Registered number | 03871266 |
| Date of incorporation | 14 August 1999 |
| Registered office | Unit 4, Carbrook Industrial Estate, Sheffield S9 2FX |
| Issued share capital | £10,000 divided into 10,000 ordinary shares of £1.00 each |
| Directors | Geoffrey Westmere; Daniel Westmere; Pauline Cole |
| Secretary | Pauline Cole |
| Accounting reference date | 31 December |
| Auditors | Lockhart Reade LLP |

## SCHEDULE 3 — COMPLETION OBLIGATIONS

### Part 1 — Sellers’ obligations

At Completion the Sellers shall deliver to the Buyer: (a) duly executed transfers of the Shares in favour of the Buyer together with the relevant share certificates; (b) the written resignations of Geoffrey Westmere as a director and of the retiring auditors; (c) the statutory books of the Company written up to (but excluding) Completion; (d) the Finance Consent; (e) the Disclosure Letter; (f) counterparts of the service agreement for Daniel Westmere and the consultancy agreement for Geoffrey Westmere duly executed; and (g) evidence of the release of all Encumbrances over the Shares and the assets of the Company.

### Part 2 — Buyer’s obligations

At Completion the Buyer shall: (a) pay the balance of the Initial Consideration of £37,550,000 to the Sellers’ Solicitors; (b) pay the Retention Amount of £2,000,000 into the Retention Account; and (c) deliver a certified copy of the board resolution of the Buyer authorising the execution and completion of this Agreement and the transaction documents.

## SCHEDULE 4 — COMPLETION ACCOUNTS

The Completion Accounts shall be prepared as at the close of business on the Completion Date in accordance with: (a) the specific accounting policies set out in Part 2 of this Schedule; (b) to the extent not inconsistent, the accounting policies and practices used in the preparation of the Accounts; and (c) to the extent not inconsistent with (a) or (b), UK GAAP (FRS 102).

Net Debt comprises all bank and other borrowings, finance lease obligations, accrued but unpaid interest, declared but unpaid dividends and corporation tax payable, less cash and cash equivalents. Working capital comprises trade and other receivables and inventory, less trade and other payables, in each case excluding items included in Net Debt. The Target Working Capital is £6,800,000, being the average month-end working capital for the 12 months ended 31 December 2024.

## SCHEDULE 5 — WARRANTIES

### Part 1 — Title and capacity Warranties

1 Each Seller is the sole legal and beneficial owner of the Shares set against its name and is entitled to sell and transfer the full legal and beneficial ownership of those Shares to the Buyer free from all Encumbrances.

2 The Shares comprise the whole of the issued and allotted share capital of the Company, are fully paid or credited as fully paid, and no person has any right to require the allotment, issue, transfer or conversion of any share or loan capital of the Company.

3 Each Seller has the requisite power and authority, and has taken all necessary action, to enter into and perform this Agreement and the documents to be executed by it.

4 The execution and delivery of this Agreement by each Seller does not conflict with, or constitute a default under, any agreement or obligation binding on that Seller.

### Part 2 — Business Warranties

1 **Accounts.** The Accounts have been prepared in accordance with UK GAAP (FRS 102) and applicable law, and give a true and fair view of the assets, liabilities and state of affairs of the Company as at 31 December 2024 and of its profit for the financial year then ended.

2 **Management Accounts.** The Management Accounts have been prepared with reasonable care on a basis consistent with the Accounts and are not misleading in any material respect, although they have not been audited.

3 **Position since the Accounts Date.** Since 31 December 2024 the business of the Company has been carried on in the ordinary course; there has been no material adverse change in its financial or trading position; and no dividend or distribution has been declared, made or paid.

4 **Assets.** The Company owns or is entitled to use all the assets necessary for the carrying on of its business as currently conducted, and such assets are free from Encumbrances other than those fairly disclosed.

5 **Stock and equipment.** The plant, machinery and coating-line equipment of the Company are in good working order (fair wear and tear excepted) and have been regularly maintained.

6 **Contracts.** The Company is not party to any contract which is material to its business and which is not in the ordinary course of business, save as fairly disclosed. So far as the Sellers are aware, no party to any material contract is in material default.

7 **Customers and suppliers.** In the 12 months before the date of this Agreement, no customer or supplier accounting for more than 10% of turnover or supplies has ceased or indicated an intention to cease trading with the Company.

8 **Insurance.** The Company maintains insurance with reputable insurers against all risks normally insured against by a prudent business of its type, and all premiums have been paid and no material claim is outstanding.

9 **Litigation.** The Company is not engaged in any litigation, arbitration or other legal proceedings (other than routine debt collection), and so far as the Sellers are aware no such proceedings are pending or threatened.

10 **Compliance and licences.** The Company holds all material licences, permits and consents (including environmental permits for its coating operations) required to carry on its business, and is in material compliance with their terms and with all applicable laws.

11 **Environmental.** So far as the Sellers are aware, the Company has at all material times conducted its operations in compliance in all material respects with environmental laws and the conditions of its environmental permits, and no enforcement notice has been served on it.

12 **Employment.** The particulars of the employees and the terms of their employment are fairly disclosed; there are no material outstanding claims by any employee; and no senior employee has given or received notice to terminate his or her employment.

13 **Pensions.** Save for the defined-contribution scheme fairly disclosed, the Company has no obligation to provide retirement, death or disability benefits, and all contributions due have been paid.

14 **Tax.** The Company has paid all Tax which it has become liable to pay, has duly and punctually made all returns and provided all information required for Tax purposes, and is not involved in any current dispute with any Tax authority.

## SCHEDULE 6 — LIMITATIONS ON LIABILITY

1 Financial limits. The aggregate liability of the Sellers (a) under the Title Warranties shall not exceed 100% of the Consideration; and (b) under the Business Warranties shall not exceed 25% of the Consideration (£9,887,500). No liability arises for an individual Claim of less than £42,500, or unless the aggregate of all Claims exceeds £425,000.

2 Time limits. No Claim shall be brought under the Business Warranties unless notified in writing within 24 months of Completion, or under the Tax Covenant and Tax Warranties unless notified within 7 years of Completion.

3 Disclosure. The Sellers are not liable for any Claim to the extent that the matter giving rise to it is fairly disclosed in the Disclosure Letter or provided for in the Accounts or Completion Accounts.

4 Recovery from third parties; no double recovery. The Buyer shall not be entitled to recover more than once in respect of the same loss, and shall give credit for amounts recovered from insurers or other third parties.

5 Conduct of claims. The Buyer shall give the Sellers prompt notice of any third-party claim that may give rise to a Claim and shall, subject to being indemnified for costs, allow the Sellers to participate in the conduct of any such claim.

## SCHEDULE 7 — TAX COVENANT

The Sellers covenant to pay to the Buyer an amount equal to any liability of the Company to Tax arising in respect of, or in consequence of, any event occurring or any income, profits or gains earned, accrued or received on or before Completion, except to the extent that provision or reserve for the liability has been made in the Completion Accounts, the liability arises in the ordinary course of business since the Accounts date, or the liability arises as a result of a change in law or rate of Tax after Completion. The Tax Covenant is subject to the time limit in paragraph 2 of Schedule 6 and to the general limitations in that Schedule so far as applicable.

## EXECUTION

This Agreement has been entered into on the date stated at the beginning of it.

| | |
|---|---|
| SIGNED by GEOFFREY WESTMERE | ..... |
| SIGNED by MARGARET WESTMERE | ..... |
| SIGNED by the trustees of THE WESTMERE 2012 FAMILY SETTLEMENT | ..... |
| SIGNED by DANIEL WESTMERE | ..... |
| SIGNED for and on behalf of WILLOW BIDCO LIMITED | ..... Director |